UNITED STATES DISTRICT COURT

DISTRICT OF COLUMBIA

Case No. 1:24-cv-01234 (JLS)

Plaintiff: Meridian Insurance Group

Defendant: Hartwell Logistics Corp.

ORDER ON MOTION FOR SUMMARY JUDGMENT

The Court has reviewed the Defendant's Motion for Summary Judgment (Dkt. #47), the Plaintiff's opposition, and the supporting evidence. Oral argument was heard on March 20, 2024. For the reasons stated below, the motion is GRANTED in part and DENIED in part.

I. FINDINGS OF FACT

On March 15, 2023, the Defendant shipped a container of industrial solvents classified as hazardous materials, Class 3, from the Port of Baltimore to a warehouse in Alexandria, Virginia.

The Plaintiff, the carrier's insurer, alleges that the solvents leaked during transit, causing approximately $2.4 million in damage to adjacent storage facilities at the Alexandria warehouse.

Witness testimony from dock supervisor R. Alvarez established that the container's external seal was intact upon arrival, but the internal gasket had degraded. The degradation was attributed to sub-freezing temperatures experienced during a prior transit in December 2022.

Expert witness Dr. Li Wei Chen, a materials engineer retained by the Defendant, testified that the gasket polymer (EPDM compound grade 70) was operated outside its recommended service temperature range during the December 2022 transit, which accelerated degradation beyond normal aging.

The Plaintiff's expert, Prof. Adaeze Okafor, reviewed Dr. Chen's materials analysis and agreed with the degradation mechanism but disputed the conclusion that the failure was solely due to the December transit conditions.

The Defendant's internal quality control logs, produced in discovery, show that the container was flagged for gasket replacement in November 2022. The replacement was documented as "pending" in the maintenance log and was not completed before the December 2022 transit or the March 2023 shipment.

II. CONCLUSIONS OF LAW

Carrier liability for interstate transportation of hazardous materials is governed by the Hazardous Materials Transportation Act (HMTA), 49 U.S.C. § 5101 et seq.

Under 49 U.S.C. § 5123, a carrier is liable for damage caused by the transportation of hazardous materials unless the damage was caused by an act of God, the act of a public enemy, the act of the shipper, or the inherent nature of the goods.

The Plaintiff bears the burden of establishing that the Defendant's breach of the reasonable care standard under 49 C.F.R. § 174.10 was a proximate cause of the damage.

The Court finds that the Defendant's failure to complete the documented gasket replacement before the December 2022 transit constituted a breach of the reasonable care standard. This breach was a proximate cause of the gasket failure that led to the March 2023 leak.

III. ORDER

For the foregoing reasons, it is hereby ORDERED:

1. The Defendant's Motion for Summary Judgment (Dkt. #47) is GRANTED in part and DENIED in part.

2. Summary judgment is GRANTED as to the Plaintiff's claim for punitive damages. The punitive damages claim is dismissed with prejudice.

3. The claim for compensatory damages in the amount of $2,400,000 shall proceed to trial.

4. The Defendant shall file a proposed conforming order within fourteen (14) days of this Order.

5. The Plaintiff may file objections to the proposed order within seven (7) days of service.

SO ORDERED this 28th day of March, 2024.

/s/ Judge L. S. Whitfield
United States District Judge